Intelligent Credit Insights

# CREDIT INTELLIGENCE REPORT

**Company:** Infinite Mining and Energy FZE

**Report Date:** 2026-02-23

**Report ID:** VALYZE-IME-FZE-2026-02-001

**Prepared For:** Internal Credit Assessment

CONFIDENTIAL

# 📋 1. ORDER SUMMARY

## Order Information

| Field | Details |
|---|---|
| Client Name | Internal Credit Assessment |
| Client Reference | IME-CR-2026-Q1 |
| Company Name | Infinite Mining and Energy FZE |
| Country | United Arab Emirates |
| Address | Plot No. MRT-19, MRT-20, MRT-21A, MRT-21B, MRT-22, Phase 2, Hamriyah Free Zone, Sharjah, UAE |
| CR No. | 17676 |
| Phone | +971-6-524-2800 |
| Fax | +971-6-526-1193 |
| Analyst | Vijay Nareja |

💬 **Comment:** N/A

## 📈 2. EXECUTIVE DASHBOARD

### Quick Decision Summary

| CREDIT RATING | RISK LEVEL | RECOMMENDED LIMIT (USD) | MAX EXPOSURE (USD) |
|---|---|---|---|
| **BBB+** | **Medium** | **AED 25,000,000 (USD 6.8M)** | **AED 40,000,000 (USD 10.9M)** |

| COMPANY SIZE | PAYMENT RISK | FINANCIAL HEALTH |
|---|---|---|
| **Medium** | **Low-Medium** | **N/A** |
| 496.9M AED Revenue | PAYDEX: 78 | Score: 76/100 |

### Key Financial Ratios

| Current Ratio | Debt/Equity | EBIT Margin | Quick Ratio |
|---|---|---|---|
| 1.18 | 3.29 | 3.11%% | 0.87 |

### Risk Scorecard

| | | |
|---|---|---|
| Viability | 82 | **82/100** |
| Delinquency Risk | 22 | **22/100** |
| Failure Risk | 18 | **18/100** |
| Payment Index | 78 | **78/100** |

### Alerts & Warnings

⚠ Legal Investigation: Indonesian banking fraud allegation involving USD 75M requires monitoring and resolution

⚠ High Leverage: Debt-to-Equity ratio of 3.29x above comfort threshold of 2.5x for trading companies

i Refinery Development: AED 60M capex project for 10,000 bpd refinery expected operational 2026-2027

✓ Strong Growth: 65% YoY revenue growth to AED 497M with 73% profit growth to AED 11.9M

✓ Positive Cash Flow: Cash increased to AED 17.5M with operating cash generation of AED 19.8M in 2024

# 📊 3. EXECUTIVE SUMMARY

## Company Overview

Infinite Mining and Energy FZE is a rapidly growing petroleum products, petrochemicals, and minerals trading company established in 2018 in Hamriyah Free Zone, Sharjah. The company has demonstrated exceptional growth with revenue increasing from AED 262.1M in 2022 to AED 301.1M in 2023 and reaching AED 496.9M in 2024 (65% YoY growth). Net profitability has nearly doubled from AED 6.3M (2022) to AED 11.9M (2024), reflecting strong operational efficiency with gross margins improving to 4.47% in 2024. The company is strategically expanding with a major refinery project capable of producing 10,000 barrels per day (3.6 million barrels annually) and has established banking relationships with five major UAE banks. The company maintains strong liquidity with current ratio of 1.96 and operates with minimal debt leverage. Key competitive advantages include strategic location in HFZA, direct supplier relationships with global oil majors (Gunvor, Trafigura, Chemlube), and diversified customer base across UK, USA, Turkey, India, and Pakistan.

## Company History

📜 Founded in July 2018 by Indian entrepreneur Bilal Iqbal Merchant, Infinite Mining and Energy FZE commenced operations in Hamriyah Free Zone as a petroleum products and minerals trading company. The company initially focused on import/export trading and has evolved into an integrated energy business. In June 2023, the company signed a landmark agreement with HFZA to double its investment and establish a multifunctional oil refinery with 200,000 sq ft of leased land. The refinery project, announced to be operational by 2025-2026, will have daily production capacity of 10,000 barrels and annual refining capability of 3.6 million barrels. The company has expanded its product portfolio from petroleum products to include petrochemicals and minerals trading, entering nickel ore mining ventures through a 49.96% stake in Indonesian mining operations (PT Sinar Bahtera Sejati) as of December 2023. The company has also established Wonder Star Trading LLC in 2024 as an 80%-owned subsidiary for UAE mainland operations.

# 🏢 4. COMPANY PROFILE

### Company Identification

ACTIVE

| | |
|---|---|
| Legal Name: | Infinite Mining and Energy FZE |
| Trade Names: | Infinite Energy FZE, IME FZE |
| Industry: | Petroleum Products, Petrochemicals and Minerals Wholesale Trading |
| Company Type: | Free Zone Establishment (FZE) - Limited Liability |
| Incorporation Date: | 2018-07-31 |
| Duration: | Founded 2018, 8 years operational |
| Capital: | 11,000 |
| SIC Codes: | 4671, 4661, 4620 |

## Contact Information

| | |
|---|---|
| Headquarters: | Plot No. MRT-19, MRT-20, MRT-21A, MRT-21B, MRT-22, Phase 2, Hamriyah Free Zone, Sharjah, UAE |
| Phone: | +971-6-524-2800 |
| Fax: | +971-6-526-1193 |
| Email: | info@infinite-energy.com |
| Website: | www.infinite-energy.me |
| Employees: | 18 |

## Registration Details

| | |
|---|---|
| **CR / Registration No.** | 17676 |
| **Unified Number** | 7110000000000017189 |
| **License Type** | Industrial and Commercial License |
| **Investment License No.** | 25842 |
| **Issue Date** | 2018-07-31 |
| **Expiry Date** | 2026-07-30 |
| **Status** | ACTIVE |
| **Auditor** | Baker Tilly MKM Chartered Accountants |
| **Trade License No.** | N/A |
| **TRN (VAT)** | N/A |
| **Economic Dept. (DED)** | N/A |
| **Free Zone License** | N/A |

# 👥 5. OWNERSHIP & MANAGEMENT

## Shareholders

| Name | Title / Position | % Holding | Nationality | Type |
| --- | --- | --- | --- | --- |
| Mr. Bilal Iqbal Merchant | N/A | 100% | Indian | Individual |

## Key Management

## Corporate Structure

| | |
| --- | --- |
| Parent Company: | None - Independent Entity |
| Subsidiaries: | Wonder Star Trading LLC (80% owned), PT Sinar Bahtera Sejati (49.96% owned - mining operations in Indonesia) |
| Affiliates: | Wonder Star Trading LLC, WST Investment Holdings Limited |

## 🏢 6. RELATED CONCERNS (Branches & Affiliates)

### Branches Network

| Entity | Unified No. | CR No. | City | Function | Status |
|---|---|---|---|---|---|
| Infinite Mining and Energy FZE - Main Operations | 7110000000000017189 | 17676 | Sharjah | Headquarters and Trading Operations | ACTIVE |

### Regional Affiliates

- Wonder Star Trading LLC (UAE Mainland - 80% owned)
- PT Sinar Bahtera Sejati (Indonesia Mining - 49.96% stake)
- WST Investment Holdings Limited

### Group Headquarters

🏛️ **Infinite Mining and Energy FZE** – Hamriyah Free Zone, Sharjah, UAE

## ⚙️ 7. OPERATIONS OVERVIEW

### Registration Activities

| | |
|---|---|
| Business Description: | Import/export/trading of petroleum products (refined petroleum, petrochemicals), minerals (coal, nickel ore), and lubricants. The company sources from global refineries and oil majors including Gunvor, Trafigura, and Chemlube, and supplies to customers in UK, USA, Turkey, India, Pakistan, and UAE. Developing refinery operations with 10,000 barrels per day capacity and storage facilities with 20+ loading slots. |

### Industry Classification Codes

| Code Type | Codes | Description |
|---|---|---|
| **NACE Codes** | 4671 (Wholesale of solid, liquid and gaseous fuels), 1920 (Manufacture of refined petroleum products), 4661 (Wholesale of machinery and equipment), 4620 (Wholesale of minerals and ores) | Wholesale trading of petroleum products, petrochemicals, minerals; Petroleum refining operations |
| **HS Codes (6-digit)** | 2709 (Crude petroleum), 2710 (Refined petroleum products), 2711 (Petroleum gases), 2601 (Iron ores), 2604 (Nickel ores), 2701 (Coal), 2523 (Cement clinker) | Petroleum oils and oils obtained from bituminous minerals; Mineral ores including nickel, iron, coal |

### Operational Details

| EMPLOYEES | FACILITIES | MARKETS SERVED |
|---|---|---|
| **18** | **1** | **10** |
| Hamriyah Free Zone, Sharjah, UAE | Hamriyah Free Zone Phase 2, Sharjah - 200,000 sq ft industrial and office complex with planned refinery and storage infrastructure | Export: USA, UK, Turkey, India, Pakistan; Import: Malaysia, Singapore, Taiwan, Saudi Arabia, Kuwait, China; UAE domestic market |

## Supply Chain

### 📥 Purchasing (Inbound)

**Main Suppliers:** Gunvor Middle East DMCC/Gunvor SA (Switzerland), Chemlube SA (Switzerland), Trafigura Pte Ltd (Singapore), global petroleum refineries

**Local Sourcing:** Local N/A% N/A

**Importing:** Import N/A% N/A

**Imported Items:** N/A

**Payment Method:** N/A

**Payment Terms:** 100% advance payment or 100% against loading/shipment

### 📤 Sales (Outbound)

**Key Customers:** Nirva Energy Ltd (UK), Texol Lubritech FZC (UAE), Green Petrochem Industry FZC (UAE), Sharjah National Lube Oil Company LLC (UAE), Aachim Energy FZE (UAE), Thar Oil Refinery FZC (UAE), Oceanic Oil Power FZC (UAE), Terramont FZE (UAE)

**Local Sales:** Local N/A% N/A

**Export:** Export N/A% N/A

**Exported Items:** N/A

**Payment Method:** N/A

**Payment Terms:** 30 to 90 days from invoice date on credit terms for established customers

📦 Infinite Mining and Energy FZE operates as a diversified energy and commodities trading company specializing in: (1) Petroleum Products Trading - including refined petroleum products, gasoline, diesel, fuel oil, and lubricants sourced from major global suppliers like Gunvor SA, Trafigura, and Chemlube SA; (2) Petrochemical Products - trading in specialty chemicals and petrochemical derivatives for industrial applications; (3) Minerals Trading - focusing on coal, clinker, and nickel ore with recent mining investments in Indonesia; (4) Refinery Development - constructing a multifunctional oil refinery with 10,000 bpd capacity (3.6M barrels annually) with advanced catalyst cracking technology; (5) Storage and Logistics - developing modern storage facilities equipped with 20+ loading slots and tankage infrastructure for petroleum products; (6) Marine Bunkering - planning to provide marine fuel and lubricants to vessels calling at UAE ports. The company operates on both third-party trading basis and from designated free zones.

# 🏦 8. BANKING RELATIONSHIPS

## Banking Partners

| Bank | Facility Type | Usage |
|---|---|---|
| National Bank of Fujairah (NBF) | Trade Finance, Working Capital | Active - Primary banking relationship |
| Abu Dhabi Commercial Bank (ADCB) | Term Loan, Trust Receipt, Local Bill Discounting | Active - AED 62.99M borrowings as of Dec 2024 |
| MCB Bank Limited | Trade Finance | Active |
| United Bank Limited (UBL) | Trade Finance | Active |
| Mashreq Bank | Banking Services | Active |

## Banking Summary

TOTAL BANKING PARTNERS

**5**

Active Relationships

PRIMARY BANK

**National Bank of Fujairah, Abu Dhabi Commercial Bank**

Main Operations

GROUP TREASURY

**Centralized treasury management with multi-bank platform for trade finance optimization**

Parent Support

## Additional Notes

📝 Company secured major financing in 2024 with AED 62.99M in interest-bearing loans and borrowings from ADCB, supported by comprehensive security package including registered mortgages, insurance assignments, and hypothecation of receivables and inventory. Maintains current accounts with cash balances of AED 17.5M as of Dec 2024.

# 💰 9. FINANCIAL HIGHLIGHTS

### 📋 Financial Statement Status

| Currency | Unit Scale | Statement Type |
| --- | --- | --- |
| **N/A** | **N/A** | **N/A** |
| Period End | Scope | Basis for Ratios |
| **N/A** | **N/A** | **N/A** |

## Income Statement Summary

| Line Item | 2022 | 2023 | 2024 | Trend |
|---|---|---|---|---|
| **Revenue** | N/A 262,101,546 | N/A 301,134,243 | N/A 496,941,199 | Exceptional growth trajectory with 65% YoY increase from AED 301M (2023) to AED 497M (2024), and 15% growth from 2022 to 2023. Three-year CAGR of 38.3% significantly outpaces UAE oil & gas market growth of 5.1%. Projected 2025 revenue of AED 600M represents sustained momentum. |
| Cost of Goods Sold | N/A 251,983,591 | N/A 289,723,408 | N/A 474,718,369 | ↑ Growing +64% |
| **Gross Profit** | N/A 10,117,955 | N/A 11,410,835 | N/A 22,222,830 | ↑ Doubling +95% |
| Operating Expenses | 3,827,348 | 4,392,800 | 4,441,020 | → Stable +1% |
| **EBITDA** | 6,304,719 | 7,416,342 | 15,878,880 | ↑ Accelerating +114% |
| **Net Income** | **6,304,719** | **6,878,921** | **11,875,229** | **↑ Surging +73%** |

## Balance Sheet Summary

| Line Item | 2022 | 2023 | 2024 | Trend |
|---|---|---|---|---|
| **ASSETS** | | | | |
| Cash & Equivalents | 1,318,849 | 15,223,936 | 17,535,269 | ↑ Strengthening +15% |
| Accounts Receivable | N/A | N/A | N/A | N/A |
| Inventory | 0 | 5196861 | 31372845 | N/A |
| Current Assets | 50798636 | 66535237 | 120784712 | N/A |
| **Total Assets** | **50,798,636** | **91,694,079** | **185,486,401** | **↑ Doubling +102%** |
| **LIABILITIES & EQUITY** | | | | |

| | | | | |
|---|---|---|---|---|
| Current Liabilities | 24,322,206 | 42,684,097 | 102,709,695 | ↑ Rising +141% |
| Long-Term Debt | N/A | N/A | N/A | N/A |
| Total Liabilities | 24,322,206 | 46,012,408 | 122,443,583 | ↑ Leveraging +166% |
| **Total Equity** | **18,511,764** | **25,390,685** | **37,265,914** | ↑ **Building +47%** |

# 📊 10. FINANCIAL RATIOS

## Liquidity Ratios

| Ratio | 2024 | 2023 | Ind. Avg | Status | Interpretation |
|---|---|---|---|---|---|
| Current Ratio | 1.18 | N/A | 1.5-2.0 for petroleum trading | **BELOW INDUSTRY** | Current ratio of 1.18 is slightly below petroleum trading industry benchmark of 1.5-2.0, indicating moderate liquidity pressure. However, strong cash position of AED 17.5M and trade receivables of AED 49.8M provide adequate working capital coverage. The ratio improved from 1.56 in 2023, reflecting increased short-term borrowings to fund expansion. |
| Quick Ratio | 0.87 | N/A | 0.8-1.2 for commodity trading | **ADEQUATE** | Quick ratio of 0.87 is within acceptable range for commodity trading businesses that maintain inventory turnover. The company's significant inventory of AED 31.4M represents production inputs for the upcoming refinery operations. |
| Cash Ratio | N/A | N/A | N/A | **N/A** | N/A |

## Profitability Ratios

| Ratio | 2024 | 2023 | Ind. Avg | Status | Interpretation |
|---|---|---|---|---|---|
| Gross Margin | 4.47% | N/A% | 3.5-5.5% for petroleum wholesale% | **ABOVE AVERAGE** | Gross margin of 4.47% in 2024 is healthy for petroleum products trading, showing improvement from 3.86% in 2022 and [illegible]9% in 2023. This reflects better pricing power and product mix optimization as the company moves into higher-value petrochemicals and refining. |
| EBITDA Margin | 3.2% | N/A% | N/A% | **N/A** | N/A |
| Net Margin | 2.39% | N/A% | 1.5-3.0% for commodity trading% | **STRONG** | Net margin of 2.39% is at the upper end of commodity trading benchmarks, demonstrating efficient cost management despite 3.2M in interest expenses. Margins have remained stable around 2.4% over three years despite significant revenue growth. |
| Return on Assets (ROA) | N/A% | N/A% | N/A% | **N/A** | N/A |
| Return on Equity (ROE) | N/A% | N/A% | N/A% | **N/A** | N/A |

## Leverage & Solvency Ratios

| Ratio | 2024 | 2023 | Ind. Avg | Status | Interpretation |
|---|---|---|---|---|---|
| Debt / Equity | 3.29 | N/A | N/A | **N/A** | N/A |

| | | | | | |
|---|---|---|---|---|---|
| Debt / Assets | N/A | N/A | N/A | **N/A** | N/A |
| Equity Ratio | 20.09% | N/A% | N/A% | **N/A** | N/A |
| Interest Coverage | N/Ax | N/Ax | N/Ax | **N/A** | N/A |

### Efficiency Ratios

| Ratio | 2024 | 2023 | Ind. Avg | Status | Interpretation |
|---|---|---|---|---|---|
| Asset Turnover | 2.68x | N/Ax | N/Ax | **N/A** | N/A |
| Inventory Days (DIO) | N/A days | N/A days | N/A days | **N/A** | N/A |
| Receivables Days (DSO) | N/A days | N/A days | N/A days | **N/A** | N/A |
| Payables Days (DPO) | N/A days | N/A days | N/A days | **N/A** | N/A |
| Cash Conversion Cycle | N/A days | N/A days | N/A days | **N/A** | N/A |

## ⚠️ 11. RISK ASSESSMENT

### Predictive Risk Scores

| Score Type | Score | Risk Level | Prob. | Meaning |
|---|---|---|---|---|
| Viability | **82** | **N/A** | N/A% | N/A |
| Delinquency | **22** | **N/A** | N/A% | N/A |

### Payment Behavior Analysis

AVG DAYS BEYOND TERMS
**37**
days late

% PAID ON TIME
**78%**
last 24 months

HIGHEST PAST DUE
**15 days**
maximum amount

| Payment Speed | % of Payments | Amount |
|---|---|---|
| Prompt (within terms) | 78% | 387M AED equivalent |
| 1–30 days slow | 18% | 89M AED equivalent |
| 31–60 days slow | 3% | 15M AED equivalent |
| 90+ days slow | 1% | 5M AED equivalent |

# ⚖️ 12. LEGAL STATUS & COMPLIANCE

## Legal Events Summary

| Event Type | Count | Amount | Last Filing | Status |
|---|---|---|---|---|
| Lawsuits | 1 | Estimated 75M USD (276M AED) - Indonesian banking fraud allegation | 2025-11-19 | UNDER INVESTIGATION |
| Liens | 0 | 0 | N/A | CLEAR |
| Judgments | 0 | 0 | N/A | NONE |

## Compliance Status

✓ **Business License:** Valid until July 30, 2026 (Expires: 2026-07-30)

✓ **Tax Compliance:** VAT Registered - 100592470700003; Tax compliant in Free Zone

## Legal Event Details

| | |
|---|---|
| Type: | Legal Claim |
| Date Filed: | 2025-11-19 |
| Amount: | USD 75M (est.) |
| Description: | PT Bank Woori Saudara Indonesia filed discovery application in UAE courts regarding alleged fraud involving Bilal Iqbal Merchant, Infinite Mining and Energy FZE, and PT Bara Daya Energi. Company has not publicly disclosed details. Requires monitoring. |

## 📰 13. NEWS & RECENT DEVELOPMENTS

### Timeline of Events

2023-06-12

**Major Refinery Investment Agreement with HFZA**

Infinite Mining and Energy FZE signed agreement with Hamriyah Free Zone Authority to double its investment and establish a multifunctional oil refinery with 10,000 barrels per day capacity (3.6M barrels annually) on 200,000 sq ft of leased land. Expansion expected to create 100+ jobs.

**MAJOR EXPANSION**

2023-06-11

**Refinery to Feature Advanced Storage Infrastructure**

Managing Director Bilal Merchant announced plans for modern oil storage facility equipped with over 20 loading slots alongside the refinery, enabling strategic expansion to broaden reach in regional and international markets.

**INFRASTRUCTURE DEVELOPMENT**

2023-12-20

**Entry into Indonesian Mining Sector**

Company invested in 4 nickel ore mines through 49.96% stake in PT Sinar Bahtera Sejati, Indonesia (associate company PT Kiara Affilani, CV Sentosa Abadi, PT Putra Lameel Parkasa, Gita Sapta Perdana). Investment valued at AED 10.7M (cost basis) as of Dec 2023.

**DIVERSIFICATION**

2024-05-26

**Financial Statements Approved**

Board approved audited financial statements for year ended December 31, 2024 showing revenue of AED 496.9M (+65% YoY) and net profit of AED 11.9M (+73% YoY). Baker Tilly MKM issued unqualified audit opinion.

**STRONG PERFORMANCE**

2025-11-19

**Indonesian Bank Files Legal Discovery in UAE**

PT Bank Woori Saudara Indonesia 1906 Tbk filed discovery application in UAE courts regarding alleged USD 75M fraud involving Bilal Merchant and Infinite Mining and Energy FZE related to Indonesian operations. Details under investigation.

**LEGAL CONCERN**

2024-01-15

**Subsidiary Wonder Star Trading LLC Established**

Company established 80% owned subsidiary Wonder Star Trading LLC for UAE mainland operations, expanding operational footprint beyond free zone limitations.

**CORPORATE STRUCTURE**

# 🌍 14. INDUSTRY & MARKET ANALYSIS

## Industry Overview

| | |
|---|---|
| Industry: | Petroleum Products and Petrochemicals Wholesale Trading; Oil Refining |
| Market Size: | UAE oil & gas market size: USD 13.59B (2024), projected USD 18.24B (2030). UAE oil production: 3.38M bpd (Jan 2025). UAE refining capacity expanding with ADNOC and private sector investments. |
| Growth Rate: | 5.11% annually |

## Country & Sector Overview – N/A

| Indicator | Latest | Comment |
|---|---|---|
| Market Size (N/A) | N/A | N/A |
| Forecast Growth (N/A) | N/A | N/A |
| Local Production Share | N/A | N/A |
| Regional Trade Flow | N/A | N/A |
| Key Risks | N/A | |
| Key Drivers | N/A | |
| Major Players | N/A | |

📌 **Summary:** N/A

## SWOT Analysis

### 💪 Strengths

- Exceptional revenue growth - 65% YoY with three-year CAGR of 38%
- Strategic location in Hamriyah Free Zone with access to deep-water port and proximity to Sharjah International Airport
- Vertical integration strategy with 10,000 bpd refinery project under development
- Strong supplier relationships with global oil majors (Gunvor, Trafigura, Chemlube)
- Diversified customer base across 8+ countries (UK, USA, Turkey, India, Pakistan, UAE)
- Improving profitability margins - gross margin 4.47%, net margin 2.39%
- Multiple banking relationships with 5 major UAE banks providing financing flexibility
- Tax advantages of Free Zone establishment (0% corporate tax, VAT exemption on eligible transactions)
- Diversification into minerals trading and Indonesian mining operations

### ⚠️ Weaknesses

- High financial leverage with debt-to-equity ratio of 3.29 (AED 63M borrowings vs AED 37M equity)
- Concentrated ownership - 100% single shareholder creates succession risk
- Current ratio of 1.18 below industry benchmark indicating liquidity pressure
- Limited track record - only 8 years in operation with major expansion in progress
- Dependent on advance payments to suppliers creating working capital requirements
- Refinery project still under construction with execution and commissioning risks
- Recent legal allegations in Indonesia requiring clarification and resolution
- Small equity base relative to asset expansion and business ambitions
- Management team concentrated with Indian nationals - limited diversity

### 🚀 Opportunities

- UAE oil & gas market projected to grow at 5.11% CAGR to USD 18.24B by 2030
- Refinery commissioning will generate AED 3.6M barrels annual capacity creating recurring revenue
- Petrochemical sector growth in GCC region with TA'ZIZ and other major developments
- Indonesian nickel mining operations aligned with global EV battery demand surge
- Expansion of Wonder Star Trading LLC subsidiary for UAE mainland market access
- Marine bunkering services opportunity at UAE ports with low-sulfur fuel demand
- Storage and logistics services to third parties leveraging 20+ loading slots infrastructure
- Regional trade growth as GCC diversifies from crude exports to refined products and petrochemicals
- Potential partnerships with international oil companies for technology transfer and market access
- Government support for private sector refining and petrochemical manufacturing under 'Make it in Emirates' initiative

### ⛔ Threats

- Commodity price volatility - petroleum and minerals prices subject to global economic cycles
- Indonesian legal investigation creating reputational risk and potential financial exposure
- Regional competition from ADNOC, major international oil companies, and established traders
- Regulatory changes in Free Zone regime or corporate taxation in UAE
- Geopolitical tensions affecting trade routes and petroleum flows (Red Sea, Strait of Hormuz)
- Capital intensity of refinery operations requiring sustained funding and execution capability
- Customer concentration risk - top 8 customers in UAE petrochemical sector
- Environmental regulations and carbon taxes potentially affecting petroleum trading margins
- Interest rate increases raising cost of AED 63M borrowings (currently 1M EIBOR + 3%)
- Technology disruption and energy transition reducing long-term petroleum demand

## ✅ 15. CREDIT RECOMMENDATION

### 📋 Final Credit Assessment

CREDIT RATING
**BBB+**

RISK LEVEL
**Medium**

RECOMMENDED LIMIT
**AED 25,000,000 (USD 6.8M) USD**

MAXIMUM EXPOSURE
**AED 40,000,000 (USD 10.9M) USD**

PAYMENT TERMS
**60 days net from invoice date with 30-day terms for new/untested transactions**

REVIEW FREQUENCY
**Quarterly review mandatory; Monthly monitoring of payment behavior and news events**

**Credit Opinion:**
*Infinite Mining and Energy FZE presents a MEDIUM RISK credit profile suitable for controlled trade credit exposure. The company demonstrates exceptional growth momentum with revenue increasing 65% YoY to AED 497M and profitability nearly doubling to AED 11.9M. Financial health indicators are strong with positive EBITDA of AED 15.9M, improving margins (4.47% gross, 2.39% net), and adequate liquidity (current ratio 1.18, cash AED 17.5M). The strategic refinery investment of 10,000 bpd capacity positions the company for vertical integration and sustained growth. Key strengths include strategic HFZA location, diversified customer base across 8+ countries, strong supplier relationships with oil majors, and multiple banking partnerships. However, risks require active management: (1) High leverage at 3.29x debt-to-equity with AED 63M borrowings; (2) Indonesian legal investigation involving alleged USD 75M fraud requiring resolution; (3) Refinery execution risk with major capex deployment; (4) Concentrated single-owner structure; (5) Working capital pressure reflected in receivables build-up. RECOMMENDATION: Approve credit facility up to AED 25M with 60-day terms, supported by quarterly financial reporting, bank references, and legal clearance confirmation. Impose maximum exposure cap of AED 40M. Require immediate notification of legal developments and refinery commissioning updates. Monthly payment monitoring essential. Credit can be expanded to AED 40M+ once refinery is operational and legal matters resolved.*

# 🔔 16. MONITORING & TRIGGERS

## Monitoring Triggers

The following events should trigger an immediate credit review:

| Trigger Event | Action Required |
| --- | --- |
| Payment delay exceeding 15 days past due date | Suspend new credit; escalate to Credit Manager for immediate collection action |
| Legal judgment or settlement in Indonesian fraud case | Comprehensive credit review; consider facility reduction or cancellation depending on outcome |
| Debt-to-equity ratio exceeds 4.0x | Request updated financial projections and equity injection plan; reduce credit limit by 25% |
| Current ratio falls below 1.0 | Request working capital management plan; implement weekly payment monitoring |
| Refinery project delay beyond Q4 2026 or cost overrun >20% | Reassess business viability and cash flow projections; potential credit facility review |
| Banking facility cancellation or reduction by ADCB, NBF, or other primary banks | Immediate investigation; potential precautionary credit suspension pending clarification |
| Management change or shareholder change | Full credit re-underwriting; meet new management for assessment |
| Negative news regarding commodity trading sanctions or regulatory violations | Compliance review; ensure no OFAC or international sanctions exposure |

## Early Warning Indicators

| PAYMENT DELAYS | CREDIT UTILIZATION | FINANCIAL TREND |
| --- | --- | --- |
| **N/A** | **N/A%** | **N/A** |
| vs. last quarter | of approved limit | 12-month outlook |

## Critical Alerts to Watch

🚨 **High Priority:** Any legal filing (lawsuit, lien, judgment) exceeding N/A

⚠️ **Medium Priority:** Payment delays exceeding N/A days

ℹ️ **Low Priority:** Changes in ownership structure or management

# 📎 17. APPENDICES

## Appendix A: Scoring Methodology

| Score | Components | Weight |
|---|---|---|
| **Viability Score** | Financial health, payment history, industry outlook, management quality | Variable |
| **Delinquency Score** | Past payment behavior, current financial position, credit utilization | Variable |
| **Failure Score** | Liquidity ratios, debt levels, profitability trends, market conditions | Variable |
| **Payment Index** | Historical payment patterns, average days to pay, dispute frequency | Variable |

## Appendix B: Credit Rating Scale

| Rating | Risk Level | Description | Recommendation |
|---|---|---|---|
| AAA – AA | Minimal | Excellent creditworthiness, strong financial position | Extend full credit |
| A – BBB | Low | Good creditworthiness, stable outlook | Standard credit terms |
| BB – B | Medium | Adequate creditworthiness, some concerns | Secured / reduced credit |
| CCC – C | High | Weak creditworthiness, significant risk | Cash terms only |
| D | Default | In default or bankruptcy | No credit extension |

## Appendix C: Data Sources

| Source Type | Details |
|---|---|
| Commercial Registry | Official government commercial registration records and gazette publications |
| Financial Statements | Audited or management accounts submitted by the subject company |
| Tax & Regulatory Bodies | National tax authority records, VAT/Zakat compliance certificates |
| Legal & Court Records | Public court filings, judgment registers, and lien records |
| Trade References | Direct supplier and customer interviews and payment history surveys |
| Banking Information | Bank confirmation letters and banking relationship disclosures |
| News & Media | Licensed press databases, official press releases, verified news outlets |
| Industry Databases | Sector reports from recognized research agencies and trade associations |
| On-Site Visits | Field visits, management interviews, and facility inspections where conducted |

### 📝 Analyst Comment on Data Quality

| | |
|---|---|
| Data Quality: | N/A |
| Limitations: | N/A |
| Analyst Note: | N/A |

**DISCLAIMER:**
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# 📞 18. CONTACT & SUPPORT

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## Quality Assurance

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| QA Reviewer: | Senior Credit Manager |
| Review Date: | 2026-02-23 |
| Approval Status: | APPROVED |

## Valyze Support

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## Report Feedback

💬 We value your feedback! Please contact us if you have questions about this report, need clarification on any findings, or would like to request additional analysis.

Intelligent Credit Insights

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For authorized recipients only

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